

ACCEL'S UNICORNS

STAGE OF FIRST INVESTMENT

► SEED

START-UPS • FLIPKART
• SWIGGY • CHARGE BEE
• FRESHWORKS • MOGLIX
• INFRA.MARKET • URBAN
COMPANY • CULT.FIT
• MINDTICKLE • MENSA
BRANDS • BLACKBUCK
• ACKO

► SERIES A

START-UPS • BROWSER-
STACK • VEDANTU
• ZENOTI • SPINNY
• ZETWERK

► SERIES C

START-UP • GOOD GLAMM

► SERIES D

START-UP • AMAGI

► SERIES E

START-UP • ERUDITUS

► NA

START-UPS • OLA CABS*
QUIKR**

*NOT A DIRECT INVESTMENT
 BY ACCEL, BUT THROUGH
 ACQUISITION OF TFS

**WRITTEN DOWN; NOT A
 DIRECT INVESTMENT, BUT
 THROUGH ACQUISITION
 OF COMMONFLOOR

NA: NOT APPLICABLE

SOURCE: ACCEL

companies,” says Subramanian.

Not only has the firm’s investments in start-ups grown in the region, it has also seen some breakout stars from each of its mature funds. For instance, the standout bet in Erasmic’s \$10-million fund was data analytics firm Mu Sigma, which came to be known as the ‘Mu Sigma fund’. The 2008-vintage second fund of \$69.2 million, or the ‘Flipkart fund’ raked in outsized gains on total investments of \$124 million across rounds, as Accel netted \$1.2 billion when the e-commerce platform was acquired by Walmart in 2018. The VC fund continues to own 1.1 per cent in Flipkart, whose current valuation stands at \$37.6 billion.

Accel’s third fund of \$173.1 million—also called the ‘Freshworks fund’—has given Accel the largest value of returns in India so far. Its stake, after investments of \$142 million across rounds in Freshworks,

was valued at nearly \$3 billion when the Chennai-based company listed on the Nasdaq in 2021.

BUT THE GAME of investments and increasing valuations is not as straightforward as it looks from the outside, says Chaturvedi of Accel. “In the first 6-7 years, we are in the build phase. A lot of capital goes into building out the companies, getting customers online, and establishing the infrastructure,” he explains. Then comes the phase of balance where some level of harvest starts to happen, similar to what is happening now, where Accel’s portfolio companies are going for IPOs, getting acquired, or have raised funds with larger valuations, says Chaturvedi, adding that now they are returning money to the investors. “It has become a real ecosys-

tem where there is liquidity in the market, and returns are also taking place,” he adds.

Following the success of its initial funds, the investment house’s subsequent funds have produced many unicorns across sectors such as B2C, B2B and SaaS in companies including Swiggy, Urban Company, BrowserStack, Infra.Market and Zenoti, among others. In total, 22 unicorns have come out of Accel’s stable over the years, of which 17 were seed or series A-round investments.

Globally, too, the Palo Alto, California-headquartered VC firm boasts of a rich portfolio that includes Facebook, Slack, Dropbox, Atlassian, Spotify, Etsy, and Jet.com, among others. In June, it announced a \$4-billion global, later-stage fund (Leaders Fund IV) that will help it to back companies in its portfolio, and make new investments. A year ago, it closed three funds totalling \$3.05 billion that included its 15th early-stage US fund at \$650 million, a \$650-million seventh early-stage European and Israeli fund, and a \$1.75-billion global fund for growth investments (Growth Fund).

The upshot of having a global fund is that when a more mature investment opportunity arises, the Indian partners usually tap into the global pools of capital. “While we have our own portfolio pipeline, we have the ability to get in at growth or late stages in companies that we miss out on in the early stage. And, we have done that multiple times,” says Subramanian. For instance, Accel’s investments in beauty and personal care firm The Good Glamm Group at Series C, media-tech start-up Amagi at Series D, and executive education firm Eruditus at Series F were late-stage bets.

Programmatically, there are two areas where Accel is doubling down in India with its latest early-stage fund, its seventh and the largest till date in the region. One, it wants to